No. 89PA22 DISTRICT THREE-A

NORTH CAROLINA SUPREME COURT

****

ERIC STEVEN FEARRINGTON,
CRAIG D. MALMROSE,

Plaintiffs-Respondents,

v.

CITY OF GREENVILLE, PITT COUNTY BOARD OF EDUCATION,

Defendants-Petitioners.

From the Court of Appeals
No. COA20-877

From Pitt County
No. 19 CVS 1217

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PLAINTIFF-RESPONDENT'S NEW BRIEF

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INTRODUCTION

The North Carolina Constitution protects schools and citizens by requiring that revenue from penalties, including civil penalties, goes to public schools instead of those enforcing the law. Article IX, § 7(a) protects the public by: (1) ensuring funding for schools, (2) preventing the diversion of funds, and (3) shielding citizens from arbitrary government by ensuring those enforcing the law have no financial stake in how the law is enforced.

Greenville and the Pitt County Board of Education devised a scheme to defeat these purposes. Greenville contracted with a private, for-profit Arizona corporation to install and monitor red light cameras in Greenville. But Greenville did not pay that private corporation directly. Instead, it sent the revenue the corporation collected to the Board—along with a bill for enforcement costs. After the Board pays Greenville and Greenville pays the Arizona corporation, the Board keeps only 71.66% of the revenue. The rest pays a Greenville police officer's salary and a corporation in Arizona.

To justify their scheme, Defendants diminish the purposes of Article IX, § 7(a) and carve novel exceptions into this Court's holdings on standing. Defendants argue Article IX is satisfied as long as the Board gets more money—no matter how that money is collected or spent. Article IX does not only fund public schools, it also requires that the funds be used to "maintain a free system of public schools." Paying an Arizona corporation to install and operate a red-light cameras and prepare citations is not public schooling.

Defendants' scheme diverts funds from public schools. Rather than funding education, those funds go to a private, for-profit corporation. That corporation, chose

where to place the cameras, drew engineering plans for cameras at those intersections, monitors the intersections, prepares the citations, and reaps the profit. It has a financial incentive to maximize its profits by maximizing citations. Fearrington and Malmrose each paid citations, giving them standing to challenge the unconstitutional misappropriation of those funds.

Article IX protects schools and citizens by ensuring those funds go to education and not to policing for profit. This Court should affirm the Court of Appeals and hold Defendants' scheme is unlawful.

STATEMENT OF THE CASE AND OF THE FACTS

Fearrington and Malmrose each received citations prepared by American Traffic Solutions, the company operating Defendants' Red Light Camera Program. (R pp 46-47, 52). Nearly one-third of the $100 penalty Fearrington and Malmrose paid ultimately went to American Traffic Solutions. (R p 143).

Fearrington and Malmrose each appealed their citations, arguing that the cameras were improperly designed so they did not have the time or distance to safely stop. (R p 50). They later learned that American Traffic Solutions was not licensed to practice engineering in North Carolina and a North Carolina engineer had been sanctioned for rubber-stamping American Traffic Solutions plans without independently reviewing them. (R pp 125-132). Although they presented affidavits from an engineer saying they were innocent, Greenville still found Fearrington and Malmrose liable. (R pp 49, 53). Fearrington and Malmrose ultimately presented an uncontradicted affidavit from that engineer saying 80-90% of penalized drivers were innocent. (R p 261). After their separate hearings, Greenville sent Fearrington and Malmrose notices of determination saying they had "fully exhausted their administrative remedies." (R p 51).

Fearrington appealed his citation to the Pitt County Superior Court for certiorari review, realleging his constitutional challenges. (Doc. Ex. p 1). Defendants represented that, the "proper mechanism through which to present your two constitutional challenges to the Program is through a declaratory judgment action." (R p 215). Fearrington, Greenville, and the Board of Education entered a consent judgment dismissing Fearrington's certiorari petition. (R p 216). In that judgment, the Pitt County Superior Court concluded that Fearrington "exhausted

his administrative remedies" and should bring a declaratory judgment action to "present his as-applied challenged to the Red Light Camera Safety Program." (Doc Ex. p 2).

This case is that as-applied challenge to the Program. (R pp 2-69). Malmrose joined the action because he took Greenville at its word when it said he had exhausted his administrative remedies. (R p 49). Malmrose and Fearrington raised five challenges to the Red Light Camera Program that fit under three broad headings: (1) improper, unlicensed engineering subjecting drivers to arbitrary citations by ignoring the immutable laws of physics, (2) defects in Defendants' administrative process, including forcibly preventing Malmrose from recording his hearing, and (3) diversion of funds from public schools and public education. (R pp 2-13).

The Superior Court held two hearings on motions. (R pp 259-260, pp 326-329). In October 2019, the Superior Court heard Greenville and Pitt County's motions to dismiss and Plaintiff's motion for summary judgment. (R p 259). It granted Defendants' motions to dismiss and denied Plaintiffs' motion for summary judgment on all claims except Plaintiffs' substantive and procedural due process claims. (R pp 259-260). In July 2020, the Superior Court heard Greenville's motion to dismiss, Pitt County's motion to dismiss, and Plaintiffs' motion for summary judgment on the substantive and procedural due process claims. (R pp 326-328). It granted Pitt County's motion to dismiss. (R p 326). It then "converted Greenville's motion to dismiss into a motion for summary judgment" and granted Greenville summary judgment. (R p 328). Fearrington and Malmrose appealed both orders. (R p 329).

The Court of Appeals held the Red Light Camera Program violated Article IX, § 7. Fearrington v. Greenville, 2022-NCCOA-158, ¶ 1. Plaintiffs appealed both the granting of Defendants' motions to dismiss and the denial of their motion for summary judgment, so the Court of Appeals reversed the dismissal and "remanded for entry of summary judgment in Plaintiffs' favor" on that issue. Id. at ¶ 1.[1]

Writing for the Court of Appeals, Judge Griffin concluded that Defendants' "funding scheme" violated Article IX, § 7 for three reasons. Fearrington v. Greenville, 2022-NCCOA-158, ¶ 56. First, N.C.G.S. § 115C-437 requires that the School Board receive at least 90% of the penalties, but the School Board received just 71.66% of the penalties. Id. at ¶ 58. Second, Greenville unconstitutionally charged the School Board for enforcement costs, including an officer's salary and American Traffic Solutions' fees. Id. at ¶ 59. Third, the funds were used for the red light camera program and not "exclusively for maintaining free and public schools." Id. at ¶ 63. The Court of Appeals unanimously concluded that "the clear purpose of the people in mandating that the clear proceeds of such fines be 'faithfully appropriated' to the public schools cannot be circumvented by the elaborate diversion of funds or cleverly drafted contracts." Id. at ¶ 62 (emphasis original).

Defendants petitioned this court for discretionary review, and this Court allowed the petition.

[1]The School Board argues this disposition prejudiced it because the "trial court did not consider any evidence on" the Article IX claim. School Board Br. p. 9. But Plaintiffs' properly noticed their summary judgment motion, submitted hundreds of pages of materials to the trial court, obtained an order on that motion, and filed a timely notice of appeal of the denial of their motion for summary judgment. (R pp 98-220, p 261-291, pp 326-328, and p 329). Defendants also submitted sixty-four pages of materials on the summary judgment motion. (R pp 225-258, pp 296-325).

ARGUMENT

Because of Defendants' scheme Fearrington and Malmrose each paid $100 they otherwise would not have paid. They have standing to challenge the misappropriation of penalties they paid. Defendants elaborate arguments and diversion scheme cannot change the fact that the red light camera program has no educational purpose and obligating the School Board to pay an Arizona corporation to operate them violates Article IX, § 7(a).

I. Diverting Funds from Public Schools to Private Corporations Violates Our Constitution, Our General Statutes, and Our Precedent and Harms Citizens by Undermining Good Government.

Article IX, § 7 appropriates the penalties Fearrington and Malmrose paid to education only:

> (a) Except as provided in subsection (b) of this section, all moneys, stocks, bonds, and other property belonging to a county school fund, and the clear proceeds of all penalties and forfeitures and of all fines collected in the several counties for any breach of the penal laws of the State, shall belong to and remain in the several counties, and shall be faithfully appropriated and used exclusively for maintaining free public schools.
> (b) The General Assembly may place in a State fund the clear proceeds of all civil penalties, forfeitures, and fines which are collected by State agencies and which belong to the public schools pursuant to subsection (a) of this section. Moneys in such State fund shall be faithfully appropriated by the General Assembly, on a per pupil basis, to the counties, to be used exclusively for maintaining free public schools.

(emphasis added). Defendants cannot pay enforcement costs out of the clear proceeds without violating Article IX, § 7(a). If the rule were anything else, there Could be no clear proceeds. Those enforcing the law would stand to profit from how they enforce the law. Defendants' elaborate diversion of funds is only the latest effort to circumvent Article IX, § 7(a). This Court should affirm the Court of Appeals and hold that scheme unlawful.

A. Article IX, § 7(a) Requires that Red Light Camera Citation Revenues be "Used Exclusively for Maintaining Free Public Schools." Paying an Arizona Corporation to Operate Red Light Cameras is Not Public Education.

The plain meaning of Article IX, § 7(a) is dispositive. That section requires that the "clear proceeds of all penalties and forfeitures" and "fines collected . . . for any breach of the penal laws of the state" shall "be faithfully appropriated and used exclusively for maintaining free public schools."

Article IX, § 7(a) imposes four requirements. First, Greenville must disburse the "clear proceeds." Second, the funds must come from "penalties" "forfeitures" or "fines collected . . . for any breach of the penal laws of the state." Third, the funds must be "faithfully appropriated" to the public schools. Fourth, the funds must be "used exclusively to maintain free public schools." By deducting enforcement costs from clear proceeds and spending funds on non-educational purposes, Defendants' scheme violates these requirements.

Defendants concede that the civil penalties at issue here are "penalties," "forfeitures," or "fines" under Article IX, § 7(a).

Defendants' do not disburse the clear proceeds because their scheme defies this Court's interpretation of "clear proceeds." Before the General Assembly defined clear proceeds, this Court defined clear proceeds to mean "the total sum less only the sheriff's fees for collection, when the fine and cost are collected in full." Cauble v. Asheville, 314 N.C. 598, 606, 336 S.E.2d 59, 64 (1985). The "costs of collection" "are limited to the administrative costs of collecting the funds." To hold otherwise would mean that "there could never be any clear proceeds of such fines." Given the financial incentive, municipalities could increase their accounting for the costs of enforcement so much that there could be no clear proceeds for public schools. To

prevent that result and protect schools and citizens, this court held that costs of enforcement cannot be deducted from revenue to determine clear proceeds. Id.

From 2017 to 2019, the Board of Education effectively paid American Traffic Solutions $581,986.65 to operate the red light camera program and paid Greenville Police Officer O'Callaghan a $75,000 salary. (R pp 149-150). Greenville invoiced the Board a total of $706,986.65 for collection and enforcement costs. (R p 150). Cauble held that our Constitution prevents Greenville from deducting those enforcement costs from the clear proceeds.

To avoid that conclusion Defendants argue Greenville has deducted nothing. Defendants' scheme is that the Board gets all the proceeds—along with a bill it is legally obligated to pay. (R p 26). This violates Article IX, § 7(a)

Article IX, § 7(a) limits both the General Assembly and school boards' discretion to spend penalties. Its requirement that funds be "faithfully appropriated" to public schools limits the General Assembly's appropriation authority. As the Board of Education has previously argued, those funds are "constitutionally appropriated." Sch. Boards Ass'n v. Moore, COA 09-741, Plaintiffs-Appellants' Brief, p 8; Appendix A p 3. In Moore, Pitt County said that "the legislative power of the purse does not extend to include the power to appropriate or direct the use of the fines, penalties[,] or forfeitures reserved by the Constitution for public schools." Id, pp 14-15. Even if the General Assembly's state budget said, "American Traffic Solutions shall receive $466,458.10 from the proceeds of Greenville's red light camera program," that legislation would fail because it violates the Constitution's text.

Despite constitutional language to the contrary, defendants argue the General Assembly may allow cities to deduct enforcement costs from clear proceeds. The Court of Appeals has noted that the General Assembly's enactments, "make[] it clear that the Legislature feels it has the authority to clarify the meaning of clear proceeds in the context of red light camera programs." Shavitz v. City of High Point, 177 N.C. App. 465, 482, 630 S.E.2d 4, 12 (2006) (emphasis added). Our Constitution is not built on the shifting sand of the General Assembly's feelings. The General Assembly may feel that it can grant a monopoly or feel that it can pass a local act regulating trade—but the General Assembly's feeling is not law. The Constitution, as expounded by this Court, is law. The Court of Appeals' recognition in Shavitz that the General Assembly believes it can define clear proceeds did not overturn this Court's holding in Cauble's that the Constitution itself prevents deducting the costs of enforcement from the clear proceeds. The Constitution appropriates civil penalties to only one use: maintaining a free system of public schools.

The Board is also powerless to spend penalty funds on non-educational purposes. Article IX, § 7(a) does not just speak of appropriation. When it says that civil penalty funds shall "be used exclusively for maintaining free public schools," it limits the Board of Education's authority. The Board of Education can only use these funds for educational purposes. As long as the purpose is educational,[2] the Board can contract with a city or third party to use funds, including civil penalty

[2]Article IX, § 7 limits the purpose to K-12 education.

funds. E.g., Boney v. Bd. of Trs., 229 N.C. 136, 140, 48 S.E.2d 56, 59 (1948).[3] No matter how noble the other purpose, The Board cannot divert civil penalty funds from education because the Constitution itself appropriates them.

Preventing the Board of Education from spending funds on noneducational purposes follows Article IX, § 7's history and intent. In 1825, North Carolina created a fund for public education, the Literary Fund. D. Lawrence, Fines, Penalties, and Forfeitures: An Historical and Comparative Analysis, 65 N.C.L. Rev. 49, 52 (1986). The Fund failed because its "trustees and the general assembly believed it was appropriate to use Fund principal and income to support internal improvements and even to lend money to the State treasury." Id. at 53. During the Civil War, many counties diverted funds from education to war-related expenditures—leaving it with just $766 of income in 1866. Id. at 54. Against this background, North Carolina amended its Constitution in 1868 and 1875. The "intentions of the 1868 and 1875 drafters of section 7 are very relevant to a determination of the current meaning of the section." Id. at 52. Their intention was "to insulate funds principal and income from diversion to noneducational purposes." Id. at 55. Neither the General Assembly nor the Board of Education can use Article IX, § 7 funds for non-educational purposes.

This Court should affirm the Court of Appeals and hold Defendants' scheme violates Article IX, § 7(a)'s plain meaning, history, and intent.

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[3]The Board of Education argues Boney authorizes the interlocal agreement because it provides more resources to public education. School Board Br. pp 20-21. The use in Boney was an athletic field and playground for the public and the schools. Boney, 229 N.C. at 140, 48 S.E.2d. at 59. This Court held that "physical training is a legitimate function of education." Because the use was educational and the field was "set apart . . . for the use of the children attending Kinston Graded Schools," Boney's interlocal agreement did not violate Article IX. Unlike physical education, operating red light cameras is not an educational purpose.

B. The Board Receives Less than 90% of the Proceeds from Red Light Camera Citations and Pays Enforcement Costs. This Violates N.C.G.S. § 115C-437.

Defendants elaborate diversion of funds does not just violate Article IX, § 7(a) it also violates N.C.G.S. § 115C-437 by (1) deducting costs of enforcement and (2) deducting more than 10% of the amount collected.

N.C.G.S. § 115C-437 defines clear proceeds as "the full amount of all penalties, forfeitures or fines collected under authority conferred by the State, diminished only by the actual costs of collection, not to exceed ten percent (10%) of the amount collected." This law imposes two limits: (1) a municipality may only deduct "the actual costs of collection" and (2) those costs cannot exceed 10% of the total amount collected. Defendants' scheme violates each limit.

Although N.C.G.S. § 115C-437 says the Board must receive at least 90% of the proceeds, the Board is left with 71.66% of the proceeds after paying its bills. Defendants do not dispute that, if deductions after the Board receives funds are accounted for, the Board receives less than 90% of the clear proceeds. Defendants instead argue the 90% requirement only applies to deductions before the Board receives funds. This narrows "clear proceeds" to the point of irrelevance. Every municipality that wants more money from its civil penalties would simply say to its Board of Education "you are only receiving the money from this program if you pay our costs, no matter how creatively we account for them, after we give you all of the money." Approving such a scheme would make N.C.G.S. § 115C-437 and Article IX, § 7(a) of no effect.[4]

[4]The Pharisees impoverished the elderly by teaching that children could avoid their obligation to support their parents by giving funds to the temple instead. Diverting funds from parents to the temple made the command to honour your father and mother "of no effect." (Mark 7:9-13).

Even if the Board retained 90% or more of the proceeds, N.C.G.S. § 115C-437 and Article IX, § 7(a) prevent the Board from paying a penny of Greenville's enforcement costs. N.C.G.S. § 115C-437 says Greenville can only deduct "the actual costs of collection." Because the General Assembly enacted this law after Cauble, the legislature is presumed to know that case's holding. Cauble distinguished collection costs and enforcement costs. Collection costs are "limited to the administrative costs of collecting the funds" and "do not include the costs associated with enforcing the ordinance." Cauble, 314 N.C. at 606, 336 S.E.2d at 64. This means a municipality cannot deduct its law enforcement officers' salaries or the expenses of a private corporation enforcing the ordinance. Shavitz, 177 N.C. App. at 482, 630 S.E.2d at 12. Yet Defendants do both. The Board is paying Officer O'Callaghan's salary and paying American Traffic Solutions to operate red light cameras and prepare citations. These are enforcement costs and the Board cannot pay any of them no matter what percentage of revenue it receives. N.C.G.S. § 115C-437.

The Interlocal Agreement cannot circumvent the General Statutes or the Constitution. The General Assembly gave Defendants authority to "enter into an interlocal agreement" that "may include provisions on cost-sharing and reimbursement" for "the purpose of effectuating the provisions of [N.C.]G.S. 160A-300.1 and [S.L. 2016-64.]" N.C. Sess. Laws 2016-64. That enactment does not give either defendant authority to abrogate N.C.G.S. § 115C-437 or the Constitution. Defendants are creations of the legislature and have only those powers the General Assembly has delegated to them. An express delegation of power

includes implied powers essential to exercising expressly delegated powers. The General Assembly did not expressly give Defendants the authority to give the Board less than 90% of the clear proceeds or to charge the Board enforcement costs, nor are these powers essential to entering into an interlocal agreement on red light cameras. The Board and Greenville could make an interlocal agreement where the Board and Greenville agree to deduct up to 10% of the proceeds as collection costs without violating either Session Law 2016-64 or N.C.G.S. § 115C-437.

This Court should harmonize N.C.G.S. § 115C-437 and Session Law 2016-64. When this Court examines legislative intent, it construes statutes on the same subject together and harmonizes them "whenever possible." More specific statutes control only when multiple statutes cannot be reconciled. E.g., Nat'l Food Stores v. N.C. Bd. of Alcoholic Control, 268 N.C. 624, 629, 151 S.E.2d 582, 586 (1966). If the Court can reconcile the statutes, it must. Defendants' argument that Session Law 2016-64 allows them to deduct enforcement costs and exceed the 10% cap on deductions brings Session Law 2016-64 and N.C.G.S. § 115C-437 into unnecessary conflict. A plain reading of the express words of those statutes does not suggest any conflict. This Court should enforce the plain meaning of Session Law 2016-64 and N.C.G.S. 115C-437.

Even if Defendants' overstatement of the presumption of constitutionality were correct, the presumption of constitutionality would harm Defendants, not help them. Fearrington and Malmrose seek to enforce N.C.G.S. § 115C-437 against Defendants. Defendants want to make the General Statutes of no effect. The problem is not what N.C.G.S. § 115C-437 or Session Law 2016-64 say; it is Defendants' scheme to evade them. N.C.G.S. § 115C-437 says the Board must retain

at least 90% of civil penalty revenue and that the Board cannot pay enforcement costs. Defendants say otherwise. This Court should enforce the General Assembly's enactments and affirm the Court of Appeals' holding that Defendants' elaborate diversion of funds is unlawful.

C. Defendants' Deduction of Enforcement Costs from Clear Proceeds Violates Shavitz and Cauble.

Shavitz v. High Point directly addressed the issues here. The difference between that case and this—when the Board pays enforcement costs—is incidental.

High Point installed a red light camera system in 1999. Shavitz, 177 N.C. App. at 469, 630 S.E.2d at 8. High Point deducted the costs of its hearing officers' salaries and the private company preparing red light camera citations from the clear proceeds. Id. at 482, 630 S.E.2d. at 16. Shavitz said the argument that these costs could be deducted from the clear proceeds was "nonsensical as these costs clearly constitute enforcement costs rather than collection costs." Id. Because its local law was silent on clear proceeds, High Point argued that "the General Assembly did not intend for the ten percent formula of section 115C-437 to apply in determining the clear proceeds of red light camera penalties." Id. at 483, 630 S.E.2d at 16. Shavitz rejected this argument. High Point's local law did not create a new definition of clear proceeds, so High Point was bound by N.C.G.S. § 115C-437's definition.

Like High Point, Defendants argue they have an exception. Like High Point, Session Law 2016-64 does not redefine clear proceeds. Defendants are bound by N.C.G.S. § 115C-437's definition of clear proceeds. The only difference between this case and Shavitz is when the Board pays enforcement costs. High Point deducted the enforcement costs before it gave its board of education the proceeds. Greenville

invoices the Board for its enforcement costs after giving the Board the proceeds. The effect is the same: a board of education paying a city's enforcement costs for a red light camera program. This Court should affirm Shavitz, rely on Cauble, and hold that Defendants' scheme violates Article IX, § 7(a) and N.C.G.S. § 115C-437.

D. Policing for Profit Harms the Public.

Enforcing penal laws should protect and serve the public. Those tasked with enforcing the law should have no financial stake in how the law is enforced. Article IX, § 7(a) does not just protect public education funding. It also protects citizens from policing for profit.

This Court's "case law applying Article IX, Section 7 has developed over time in response to attempts by state and local governmental entities to circumvent the State constitutional requirement that proceeds from fines or penalties inure to the benefit of public schools." New Hanover Cty. Bd. of Educ. v. Stein, 374 N.C. 102, 126, 840 S.E.2d 194, 211 (2020) (Newby, J, dissenting). This case is just the latest scheme to circumvent Article IX. Past schemes have tried to redefine clear proceeds, to make agreements saying the fines or penalties are not actually being paid for violating the law, or to add deductions. Today's variation is getting the School Board to agree to pay enforcement costs. Calling the School Board's decision voluntary is euphemistic at best. Its choices were (1) pay American Traffic Solutions and Greenville and get some money or (2) not pay them and get nothing. Unsurprisingly, it chose to get some money rather than nothing.

Since this nation's founding, we have recognized that "[w]hen the same man, or set of men, holds both the sword and the purse, there is an end of liberty." George Mason, Fairfax County Freeholders' Address and Instructions to Their General

Assembly Delegates (May 30, 1783), in Jeff Broadwater, George Mason: Forgotten Founder 153 (2006). Allowing private corporations to enforce the law and keep part of the proceeds creates a "direct funding mechanism that is totally outside the legislative appropriations and oversight process" and incentivizes them to focus "more on getting money" than catching criminals." Civil Asset Forfeiture: When Good Intentions Go Awry: Hearing before the Mississippi Asset Forfeiture Transparency Task Force, Jul. 20 2016 (Statement of John Malcolm).

Defendants admit their financial motivation: "Without reimbursement from the School Board, the City has no incentive to spend the money to operate the red light camera program." Board of Education Br. p. 21. Unless someone else pays for it Greenville has no incentive to operate the red light camera program. Not public safety. Not stopping car accidents. Not preventing injuries. Not saving lives. No, Defendants say none of those reasons would motivate Greenville to pay for the red light camera program. Defendants say their only incentive is financial.

If, instead of giving American Traffic Solutions a part of the revenue it raises, Greenville had to pay for the red light camera program, then its only motivation for that program would be public safety. American Traffic Solutions' revenue depends on citations. (R p 36). It gets "$31.85 per paid violation," which amounts to nearly one-third of the cost of each $100 citation. (R p 36). That financial incentive violates our Constitution and harms the public by creating an incentive for corruption. Diverting revenue from public schools to a private corporation corrupts the entire process from the engineering of the red light camera program to the issuing of citations to the administrative hearings issuing penalties for "fast yellow[s]." (R p 59).

Our Constitution protects citizens from precisely this sort of corruption by preventing the diversion of civil penalties from public education. Using those funds to financially benefit the corporation deciding whether to put the cameras, operating the cameras, and preparing the citations is an unlawful recipe for corruption that removes one of our Constitution's most significant public protections. This Court should reject that scheme and reaffirm that law enforcement is about public safety, not raising revenue.

II. Fearrington and Malmrose Received Citations for Alleged Red Light Camera Violations and Paid these Citations. They have Standing to Challenge Defendants' Red Light Camera Program.

As a last means of defending their unlawful diversion scheme, Defendants argue that Fearrington and Malmrose lack standing to challenge the red light camera program.

The standing analysis here is simple: Fearrington and Malmrose paid Greenville penalties and Defendants unlawfully misappropriated those funds. Without Defendants' scheme, Fearrington and Malmrose would not have been penalized. That scheme is a but-for cause of Fearrington and Malmrose each paying Defendants $100. Defendants took Fearrington and Malmrose's money and used it unlawfully. Fearrington and Malmrose have standing to challenge the unlawful use of money Defendants obtained from them.

Defendants employ a complicated standing analysis to avoid this simple reality. Their complicated argument contradicts precedent, the Rules of Civil Procedure, and their own earlier statements.

Our Constitution "guarantee[s] standing to sue" where a right "arising under the North Carolina Constitution has been infringed." Comm. to Elect Forest v.

Emps. PAC, 2021 NCSC 6 ¶ 76. "Those who suffer harm" have standing. Harm may be purely legal; in those cases the legal injury itself gives rise to standing. Thus, the federal "injury-in-fact standard is inconsistent with the caselaw of this Court." Id. at ¶ 74.

Because of our Constitution's guarantee, taxpayers have broader standing in North Carolina than in federal courts. An "actual right of action" is "not necessary" for a taxpayer to seek declaratory relief. N.C. Consumers Power, Inc. v. Duke Power Co., 285 N.C. 434, 450, 206 S.E.2d 178, 188 (1974). A taxpayer who alleges a municipality has exceeded its powers can sue to enjoin it "from transcending its lawful powers or violating any legal duty which will injuriously affect the taxpayer." Id.

Taxpayer standing includes the right to sue over "the alleged misuse or misappropriation of public funds." Goldston v. State, 361 N.C. 26, 33, 637 S.E.2d 876, 881 (2006). The Goldston Plaintiffs sued to enjoin transfers of public money from the North Carolina Highway Trust Fund to the general fund. Id. at 27. By the time the case reached this Court, the Plaintiffs had "abandoned" the portion of their claim seeking "to compel the return of the challenged assets to the Trust Fund." Id. at 34. They only sought a "declaration by a court the defendants acted unlawfully without also seeking additional redress." Although the Goldston Plaintiffs were not seeking any affirmative relief, this Court still held they had standing. They paid the taxes that defendants were diverting. Fearrington and Malmrose suffered even more

[5]Indeed, Malmrose was party to a pre-enforcement challenge to the red light camera program based on his standing as a taxpayer. (Pitt County 17 CVS 2411).

harm than the Goldston plaintiffs. They did not just pay taxes Defendants diverted,[5] they paid the penalties Defendants are unlawfully diverting.

Defendants misread Goldston in the same way the Court of Appeals misread Mangum in Dan Forest. The Court of Appeals in Dan Forest read Mangum's statement that "one must have suffered some 'injury in fact' to have standing to sue" as imposing a constitutional injury in fact requirement in North Carolina. Dan Forest, ¶ 76. This Court rejected that reading, holding " 'harm' is a sufficient but not a necessary condition for 'standing.' " Id. Defendants read Goldston's statement that a taxpayer can "restrain the unlawful use of public funds to his injury" to require injury in fact in taxpayer suits. (Greenville Br. p. 22). But Defendants do not explain why taxpayer suits should be treated any differently from other suits or how the taxpayers in Goldston suffered a different harm than Fearrington and Malmrose. And this Court has already held that the injury in fact "requirement has no place in the text or history of our state Constitution." Dan Forest, ¶ 73 (emphasis added).

Even before Goldston and Dan Forest, this Court recognized standing to challenge the misappropriation of civil penalties. In 1980, this court addressed a taxpayer's challenge to Asheville's diversion of funds it collected from parking ordinances. Cauble, 301 N.C. at 342, 271 S.E.2d at 259. This Court addressed the merits of Cauble's claim without directly addressing standing. Greenville argues this Court cannot imply anything from this silence. But standing is a prerequisite to the Court's subject matter jurisdiction, so a court has a "duty" to take notice of a defect in standing and "dismiss the suit" at "any stage of the proceedings." Burgess v. Gibbs, 262 N.C. 462, 465, 137 S.E. 2d 806, 808 (1964). Indeed, the Court can take

notice of a defect in standing even when the parties do not raise it. See Union Grove Milling & Mfg. Co. v. Faw, 109 N.C. App. 248, 251, 426 S.E.2d 476, 478, aff'd per curiam, 335 N.C. 165, 436 S.E.2d 131 (1993) (quoting Reliance Ins. Co. v. Walker, 33 N.C. App. 15, 234 S.E.2d 206, disc. review denied, 293 N.C. 159, 236 S.E.2d 704 (1977)); see also Hedgepeth v. N.C. Div. of Servs. for the Blind, 142 N.C. App. 338, 341, 543 S.E.2d 169, 171 (2001) ("[I]ssues pertaining to standing may be raised for the first time on appeal, including sua sponte by the Court."). In more than five years of litigation, neither the Superior Court nor the Court of Appeals nor this Court ever doubted that Cauble had standing.

Dan Forest, Goldston, and Cauble are clear: Fearrington and Malmrose have standing to sue over the misappropriation of penalties they paid. Defendants' only escape from these holdings is inserting a novel exhaustion of administrative remedies requirement. That requirement contradicts Greenville's own earlier statements to plaintiffs and the Superior Court, this Court's precedent, and the Rules of Civil Procedure. Agreeing with Defendants would require this Court to set aside an order that is not part of this case and no party appealed. This Court should reject Defendants' novel arguments and novel remedies.

Exhaustion of administrative remedies is irrelevant when a plaintiff seeks a declaration that a law is unconstitutional. Administrative remedies presuppose the constitutionality of the law and the administrative process. That is why Defendants told Fearrington that a superior court hearing his case in certiorari "may not have jurisdiction over claims challenging the constitutionality of the entire program" so the "proper mechanism through which to present your two constitutional challenges to the Program is through a declaratory judgment action." (R pp 214-215). The

administrative hearing derives its authority from the ordinance Fearrington and Malmrose challenge. If that ordinance is unlawful and thus void, then so is the administrative hearing. If Fearrington and Malmrose had miraculously convinced their hearing officers that the red light camera program was unconstitutional, Defendants would argue the hearing officers had no jurisdiction to declare their own proceedings unlawful.[6] Requiring plaintiffs challenging the legality of an administrative process to exhaust their administrative remedies is not just bad policy, it is illogical.

Not requiring exhaustion of administrative remedies follows this Court's holdings and the Court of Appeals holdings. This Court has held there is no requirement to exhaust administrative remedies when a plaintiff argues an agency adopted a rule exceeding its authority or a plaintiff raises a challenge under the United States Constitution. Charlotte-Mecklenburg Hosp. Auth. v. N.C. Indus. Comm'n, 336 N.C. 200, 211, 443 S.E.2d 716, 723 (1994); Edward Valves, Inc. v. Wake Cty., 343 N.C. 426, 434-35, 471 S.E.2d 342, 347 (1996). The Court of Appeals has been more direct: "exhaustion of administrative remedies "is not required" when a plaintiff "challenges the constitutionality of a regulation or statute." Shell Island Homeowners Ass'n v. Tomlinson, 134 N.C. App. 217, 224, 517 S.E.2d 406, 412 (1999).

The Rules of Civil Procedure also expressly exempt declaratory judgment actions from the exhaustion requirement. Rule 57 says that "an adequate state

[6]This is a variation on Epimenides' paradox or the liar paradox. If a Cretan says, "all Cretans are liars," then he must be lying because he is a Cretan. If it is true that all Cretans are liars, and then the statement, "all Cretans are liars" is true then this Cretan is lying too. But if he is lying, his statement that "all Cretans are liars," is not true. Whatever way you turn the proposition, the conclusion is a contradiction.

remedy does not preclude a judgment for declaratory relief." That is why the Court of Appeals has held that direct constitutional claims are barred by the existence of administrative remedies. E.g., Structural Components Int. v. City of Charlotte, 154 N.C. App. 119, 127, 573 S.E.2d 166, 172 (2002). Structural Components did not address a declaratory judgment action. Nor did the plaintiff in Structural Components petition for certiorari. Fearrington did petition for certiorari and brought a declaratory judgment action. Fearrington did not have to exhaust his administrative remedies before bringing a declaratory judgment action.

Defendants' arguments that Fearrington did not exhaust his administrative remedies are improper collateral attack on a final order they did not appeal. In Fearrington's certiorari appeal, the Superior Court entered a consent order dismissing Fearrington's appeal. (Doc. Ex. p 1).[7] That order concluded that "Petitioner has fully exhausted his administrative remedies with the City of Greenville concerning his citation." (Doc. Ex. p 2). Defendants consented to that order. That order is not on appeal here, so the Court lacks jurisdiction to set it aside. E.g., Starnes v. Thompson, 173 N.C. 466, 469, 92 S.E. 259, 260 (1917) ("If the court had jurisdiction of the subject-matter and the parties, it is altogether immaterial how grossly irregular or manifestly erroneous its proceedings may have been; its final order cannot be regarded as a nullity, and cannot, therefore, be collaterally

[7] In a yet more novel argument, Greenville argues the order dismissing Fearrington's claim was not actually a final order. N.C.G.S. § 160D-1402(k) says a Superior Court reviewing an administrative decision on certiorari may affirm, reverse and remand with instructions, or remand the case for further proceedings. Greenville reasons that because the consent order "did none of these three things," it "could not constitute a final order[.]" But N.C.G.S. § 160D-1402(k) does not say those are a Superior Court's only options. The Rules of Civil Procedure still apply and give the Superior Court authority to dismiss, effectively affirming the administrative proceeding. An order dismissing a case is a final order.

impeached."); In re McGee, 217 N.C. App. 325, 328, 719 S.E.2d 222, 225 (2011). Indeed, no party appealed that order. Nor has any party asserted that the Superior Court lacked subject matter jurisdiction over Fearrington's administrative appeal. The order's unappealed conclusions are binding. E.g., In re J.M.W, 179 N.C. App. 788, 795, 635 S.E.2d 916, 921 (2006) ("Because the order was not appealed, it is valid and binding in every respect."); Daniels v. Montgomery Mut. Ins., 320 N.C. 669, 676, 360 S.E.2d 772, 777 (1987) ("an erroneous order may be remedied by appeal; it may not be attacked collaterally"). This Court should not take the extraordinary step of voiding an order no party appealed.

This Court should reject Defendants' unnecessarily complex standing arguments, expressly reject Defendants' novel exhaustion of administrative remedies argument, and rely on Dan Forest, Cauble, Goldston, and the unappealed order dismissing Fearrington's certiorari appeal to hold that Fearrington and Malmrose have standing.

CONCLUSION

Diverting funds from public schools violates our Constitution, General Statutes, and this Court's precedents. When that diversion gives a private, for-profit corporation a financial stake in maximizing citations, it creates an incentive for corruption that harms the public. Fearrington and Malmrose each paid penalties they would have never paid but for Defendants' scheme to divert funds from public education. They have standing to challenge that scheme and this Court should affirm the Court of Appeals' holding that Defendants' scheme is unconstitutional.

Respectfully submitted,
7 August 2023

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I certify that the lawyers below have authorized me to list their names on this document as if they had personally signed it.

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CERTIFICATE OF SERVICE

I certify that I served the attached New Brief on all parties by electronic mail

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